

CDS Indices

Credit Index & Derivative Strategy

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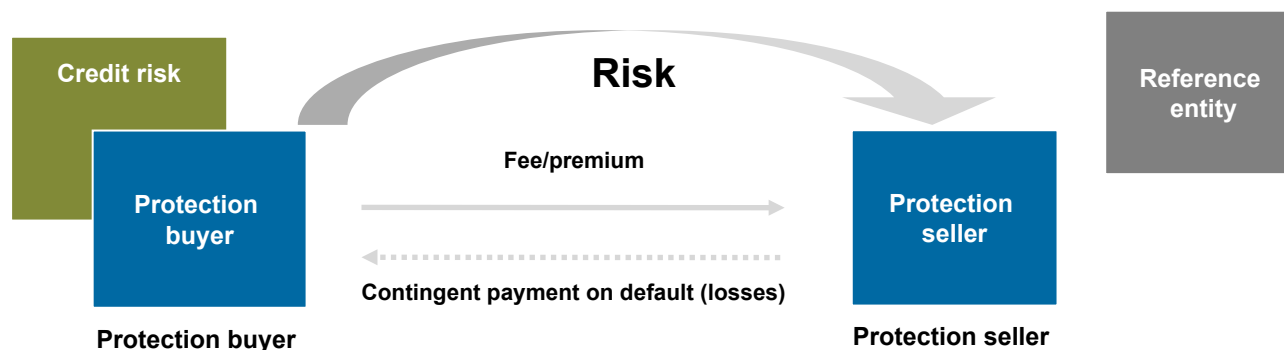
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Credit Default Swap Mechanics Recap

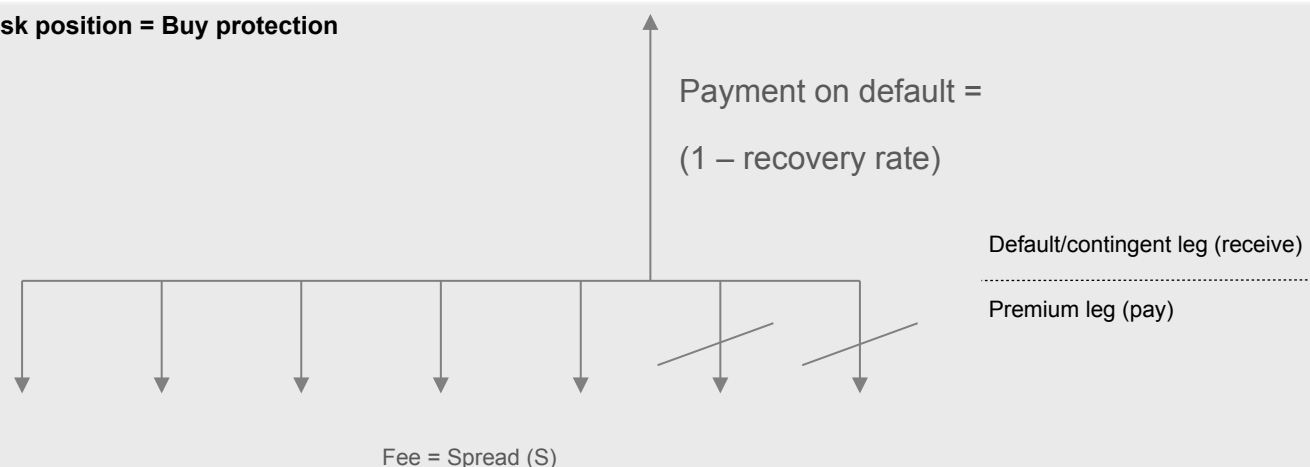
Short risk/buy protection

Long risk/sell protection



In cash flow terms

Example of a short risk position = Buy protection



Source: J.P. Morgan

Credit Default Swap Mechanics Recap

Credit Default Swaps

- There are two counterparties in a CDS contract:
 - Buyer of protection
 - Seller of protection
- The protection buyer pays the protection seller regular fees – known as the **spread**.
- In return, if the underlying company defaults, the protection seller will make a payment to the protection buyer equal to $(1 - \text{Bond Recovery}) \times \text{Notional}$.
- Each CDS contract specifies (among other things):
 - The underlying company that insurance is being bought on – the “reference entity”
 - The seniority level (usually senior unsecured debt)
 - The maturity of the contract – norm is 5 years
 - Notional of the trade
 - The contract spread/price – this quoted figure determines “fixed coupon + upfront” cash flows
 - How we define a default

Source: J.P. Morgan

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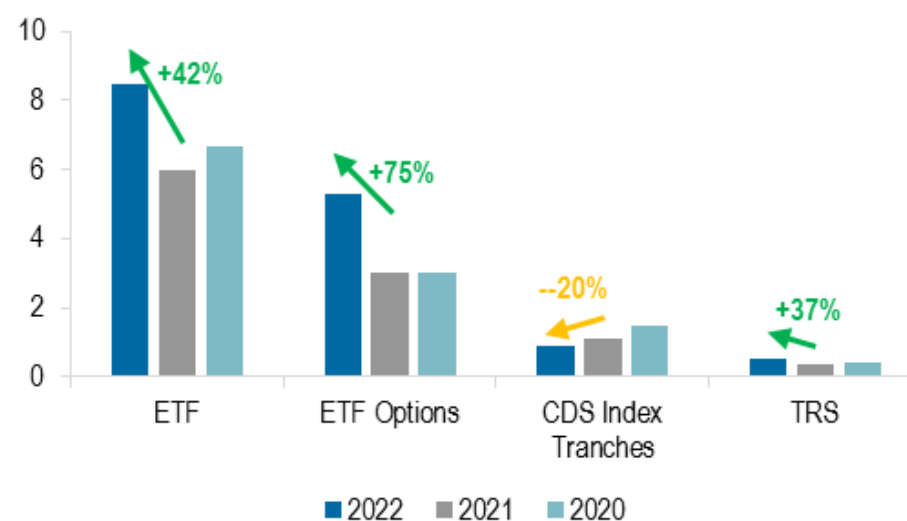
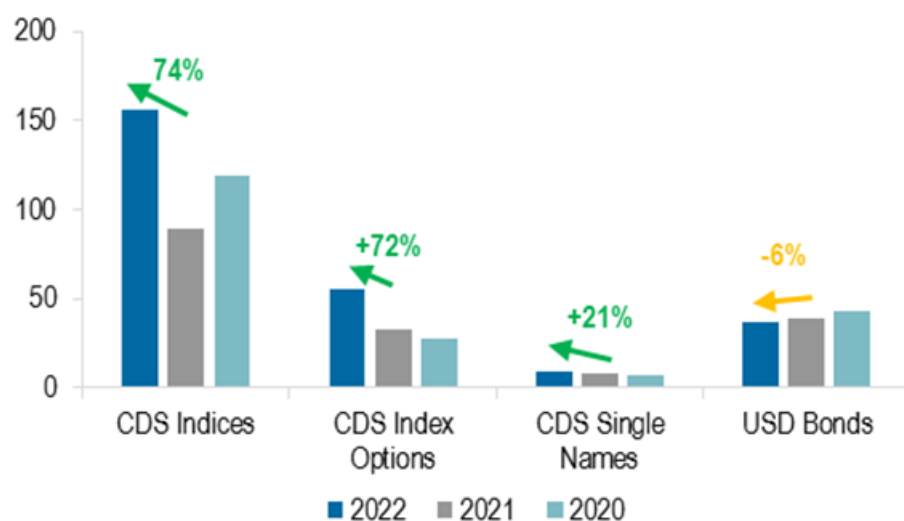
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What is a CDS Index?

- CDS indices allow investors to take diversified long or short exposure to a credit market.
- CDS indices are the most liquid instruments in the credit markets.
- CDS indices are effectively **baskets of single name CDS**.
 - e.g. iTraxx Main is a basket of 125 single name CDS contracts in European Investment Grade.
- CDS indices have a fixed composition and fixed maturity. New series with an updated basket of underlying credits are launched twice a year (in March and September). Note: old series continue trading.
- CDS indices **trade as a single contract**, meaning that you can get diversified macro exposure to credit without trading a large number of single name CDS contracts.
- (Most) CDS indices are usually **equally weighted**: e.g. each name in iTraxx Main makes up 1/125th or 0.8% of the index notional.
- The cost of buying protection on iTraxx Main will be very similar to the cost of buying protection on all 125 single names, but there can be some differences (aka index basis or “skew”).
- Why trade CDS indices instead of just the single names?
 - Much easier to trade one single contract than 125 different single name contracts.
 - Lower bid-offer for index.
 - Higher volumes.
 - Quick way to gain exposure to the credit risk of a region or sector.

CDS Indices are the most liquid instruments in the credit market

Average Daily Volumes in 2022 (\$bn)



Source: J.P. Morgan, DTCC

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Global CDS Indices

European CDS Indices: iTraxx Europe Family

iTraxx Main (Investment Grade)
+ Senior / Sub Financials sub-indices
+ Main ESG
iTraxx Crossover (High Yield)

Asia-Pacific CDS Indices:

iTraxx Japan
iTraxx Asia Ex-Japan IG
iTraxx Australia

US CDS Indices: CDX Family

CDX.NA.IG (+ BBB sub-index)
CDX.NA.HY (+ BB, B, Ex-BB sub-indices)
CDX Financials (upcoming)

Emerging Markets CDS

CDX.EM (+ IG & HY sub-indices)

Legacy indices:

- iTraxx SovX Western Europe
- iTraxx SovX CEEMEA
- iTraxx Corp CEEMEA
- iTraxx HIVOL
- iTraxx Asia Ex-Japan HY
- CDX Latin America

Bloomberg screen for CDS Indices: {CDX <GO>}

97) Settings ▾							CDS Index Monitor					
Markit Indices							Historical Data		Spread	3 Months ▾		
		Spread	Chg	Spread	Basis	Roll	Low	Range	High	Avg	+/-	3M Chg
1) Americas							◆ Avg ● Now					
10) CDX Investment Grade	⌵	47.26	+0.31			6.0	47.2	—◆—	56.3	50.8	-3.5	-9.1
11) CDX High Yield	⌵	107.90*	+0.00		1.6	0.4	106.3	—◆—	108.0	107.4	+0.5	+1.6
12) MCDX	⌵	78.01	+1.43		0.0		78.0	—◆—	84.0	82.6	-4.6	-3.9
2) EMEA												
20) iTraxx Europe	⌵	56.20	+5.88	~		10.7	50.2	—◆—	62.0	54.1	+2.1	-5.8
21) iTraxx Crossover	⌵	268.41	+20.00	~		32.9	248.6	—◆—	316.0	273.4	-4.9	-47.6
22) iTraxx Sr Financial	⌵	60.12	+6.55	~		13.3	53.3	—◆—	66.5	57.7	+2.5	-6.3
23) iTraxx Sub Financial	⌵	103.14	+12.58	~		23.4	90.7	—◆—	117.3	99.8	+3.4	-14.2
3) Asia												
30) iTraxx Japan	⌵	56.13	+5.55	~		13.3	51.5	—◆—	66.9	58.1	-2.0	-9.7
31) iTraxx Asia Ex Japan IG	⌵	62.94	+3.13	~		11.3	60.3	—◆—	81.0	69.7	-6.8	-18.1
32) iTraxx Australia	⌵	60.50	-1.16	~		6.6	60.5	—◆—	80.5	69.3	-8.8	-19.4
Emerging Markets												
40) CDX Emerging Market	⌵	97.73*	-0.54	↘		-1.3	97.0	—◆—	98.4	97.8	-0.1	+0.8
41) CDX Emerging Market IG	⌵	101.68*	-0.01	↗	0.0	-0.1	101.0	—◆—	101.7	101.4	+0.3	+0.6
42) CDX Emerging Market HY	⌵	94.59*	-0.01	↗	1.2	-0.9	93.0	—◆—	95.0	94.2	+0.3	+1.5

Source: Bloomberg

European CDS Indices

Inclusion Criteria

iTraxx Main

- 125 European **Investment Grade** Companies
- Equally weighted
- Sector constraints (sector buckets filled based on constituent liquidity within min-max sector budgets):
 - 24-36 Autos & Industrials
 - 20-30 Consumers
 - 16-24 Energy
 - 16-24 TMT
 - 30 Financials
- Constituents must be rated higher than BBB-/Baa3 Neg Outlook – note a stricter definition vs cash indices.
- Composition is based on the names with the highest trading volumes.
- 1y, 3y, 5y, 7y & 10y points are traded (5y most liquid).
- Quoted on spread.
- Trades on upfront + **100bp** fixed coupon.
- €50bn daily volume across entire market.

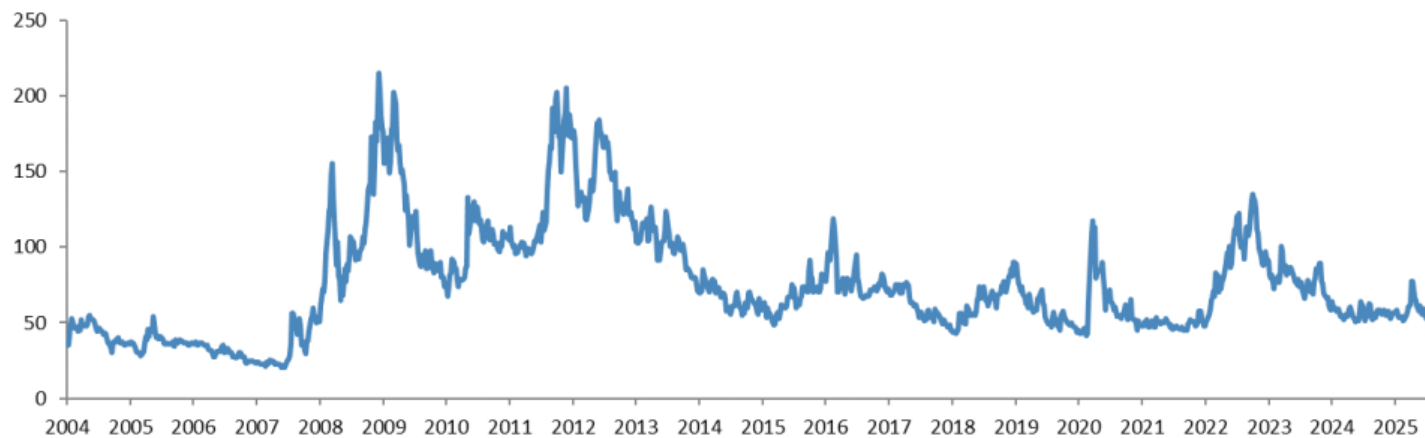
iTraxx Crossover

- 75 European **High Yield** Companies
- Equally weighted
- Financials not allowed (except Specialty Finance)
- No sector constraints
- Constituents must be rated BBB-/Baa3 Neg Outlook or below.
- Unrated issuers are allowed as long as CDS spread is greater than 1.5 x spread of Main Non-Financials.
- No distressed – 500bp upfront < 50pt
- New CDS contracts can be introduced via Suppl. List.
- Composition is based on the names with the highest trading volumes.
- 3y, 5y, 7y & 10y points are traded (5y most liquid).
- Quoted on spread.
- Trades on upfront + **500bp** fixed coupon.
- €15bn daily volume across entire market.

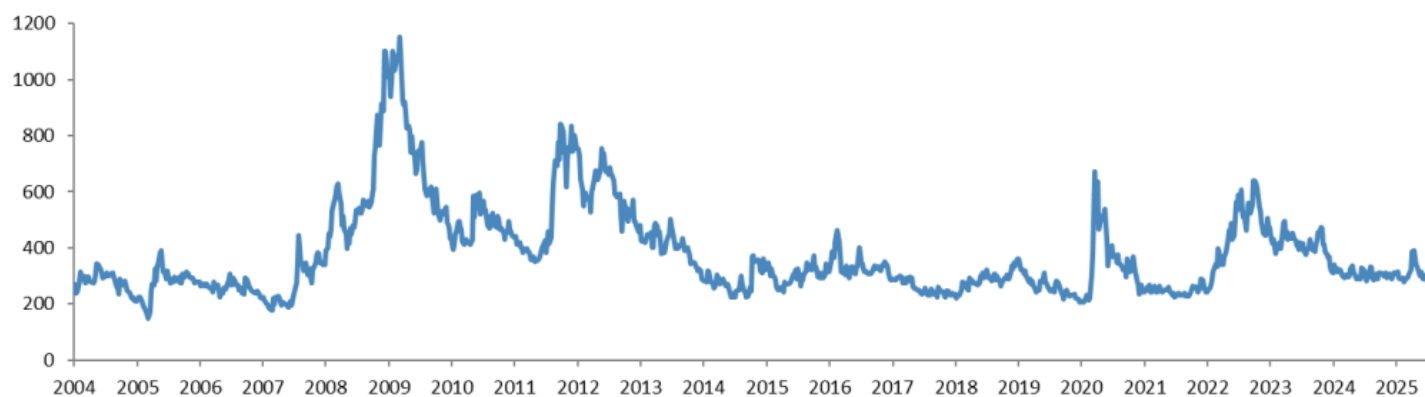
Source: J.P. Morgan

iTraxx Main and Crossover Historical Spreads

iTraxx Main 5y Spread



iTraxx Crossover 5y Spread



Source: J.P. Morgan

European CDS Indices - continued

Inclusion Criteria

iTraxx Senior Financials

- 30 European Banks and Insurance Companies
- Equally weighted
- Subset of 30 Financials that appear in iTraxx Main.
- **References the Senior Unsecured debt** (SLAC where available otherwise Senior Preferred/HoldCo).
- 5y and 10y points are traded (5y most liquid).
- Quoted on spread.
- Trades on upfront + 100bp fixed coupon.
- €4.5bn daily volume across entire market.

iTraxx Subordinated Financials

- 30 European Banks and Insurance Companies
- Equally weighted
- Same 30 names as Senior Financials.
- **References the Tier 2 debt.**
- 5y and 10y points are traded (5y most liquid).
- Quoted on spread.
- Trades on upfront + 100bp fixed coupon.
- €700m daily volume across entire market.

Source: J.P. Morgan

North American CDS Indices

Inclusion Criteria

CDX Investment Grade

- 125 North American Investment Grade Companies
- Equally weighted
- Very few banks and financials (CDS dealers not allowed)
- Constituents must be rated higher than BBB-/Baa3 Neg Outlook.
- Composition is based on the names with the highest trading volumes.
- 1y, 3y, 5y, 7y and 10y points are traded (5y most liquid).
- Quoted on spread.
- Trades on upfront + 100bp fixed coupon.
- \$60bn daily volume across entire market.

CDX High Yield

- 100 North American High Yield Companies
- Equally weighted
- Financials not allowed
- Constituents must be rated BBB-/Baa3 Neg Outlook or below
- Composition is based on the names with the highest trading volumes
- Additional mechanism to include new names to increase weightings of under-represented sectors
- 3y, 5y, 7y and 10y points are traded (5y most liquid).
- **Quoted on price**
 - Price = \$100 – Upfront
 - e.g. price of \$99 means buyer pays 1% upfront.
- Trades on upfront + 500bp fixed coupon.
- \$16bn daily volume across entire market.

Source: J.P. Morgan

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CDS Index Mechanics

- CDS indices are quoted and traded in the same way as single name CDS.
- *Quoted* on spread basis, which is used to calculate *traded* upfront amount (pv/cash that gets exchanged).
- Example:
 - We buy iTraxx Main protection on €100million for a 5y maturity.
 - Quoted spread is 75bp
 - We will pay the fixed coupon of 100bp.
 - Due to the difference in the quoted spread and fixed coupon we will also receive an upfront amount, equal to 1.125 % of notional.
- CDX.HY is quoted on price, not spread. Price = 100 – Upfront.
- Jargon convention: “buy the index” = buy prot. in iTraxx and CDX.IG but sell prot. in CDX.HY.
- The ISDA Standard Model is used to convert between upfronts and spreads.
- You can download the ISDA Standard Model at www.cdsmodel.com (also implemented in CDSW menu on BBG).

Source: J.P. Morgan

CDSW calculator on BBG is the industry standard for mark-to-market calculations

XOVER S43 V2 example – with one default (SFR)

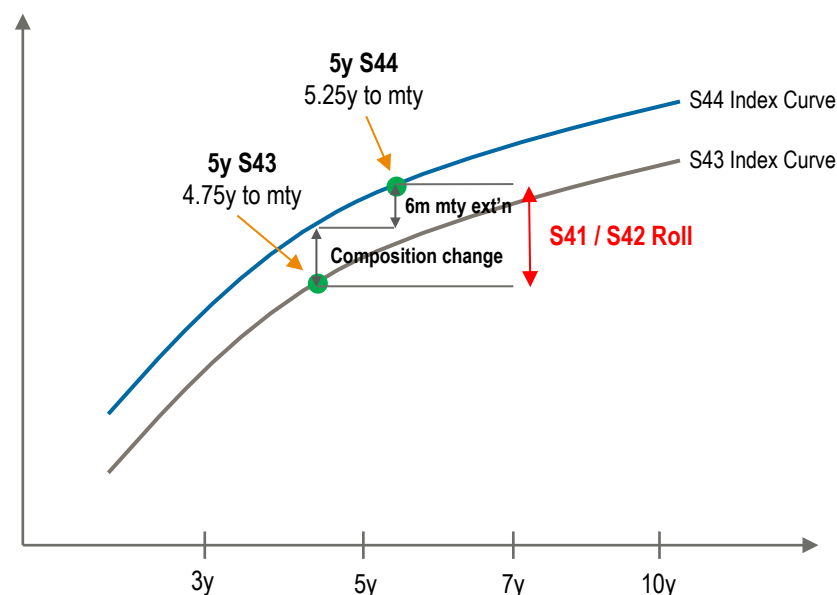


Source: Bloomberg

J.P.Morgan

CDS Index Series and Rolls

- CDS indices trade in what are known as “Series”.
- A new series is launched every six months on **20th March** and **20th September** – this is known as the “index roll”.
- The new series of each index have a **new composition** and **extra six months of maturity**.
- The latest series is known as the “**on-the-run**” index.
- Currently the “on-the-run” series is Series 44 for iTraxx and 45 for CDX indices.
- For example, on 22 September 2025 we rolled from iTraxx S43 to iTraxx S44.
 - iTraxx S43 indices will have an updated composition reflecting liquidity and rating changes over the previous six months.
 - iTraxx S44 5y maturity is 20-Dec-2030, six months longer than the iTraxx S43 5y maturity of 20-Jun-2030.
- Old indices become “off-the-run”. They still trade but become less liquid over time.



Source: J.P. Morgan

Rolls in Practice

- Switching a position from an old series to a new series is known as “rolling” the position.
 - “Buying the roll” = rolling buy protection position = “steepener” trade
- E.g., an investor who had bought protection on Main S44 could roll to the new series by selling back protection on Main S43 and buying protection on Main S44.
- Rolls are optional; if investors do nothing then they continue to hold the position in the old series.
- The majority of positions held by investors are rolled to the new series in order to maintain liquidity.

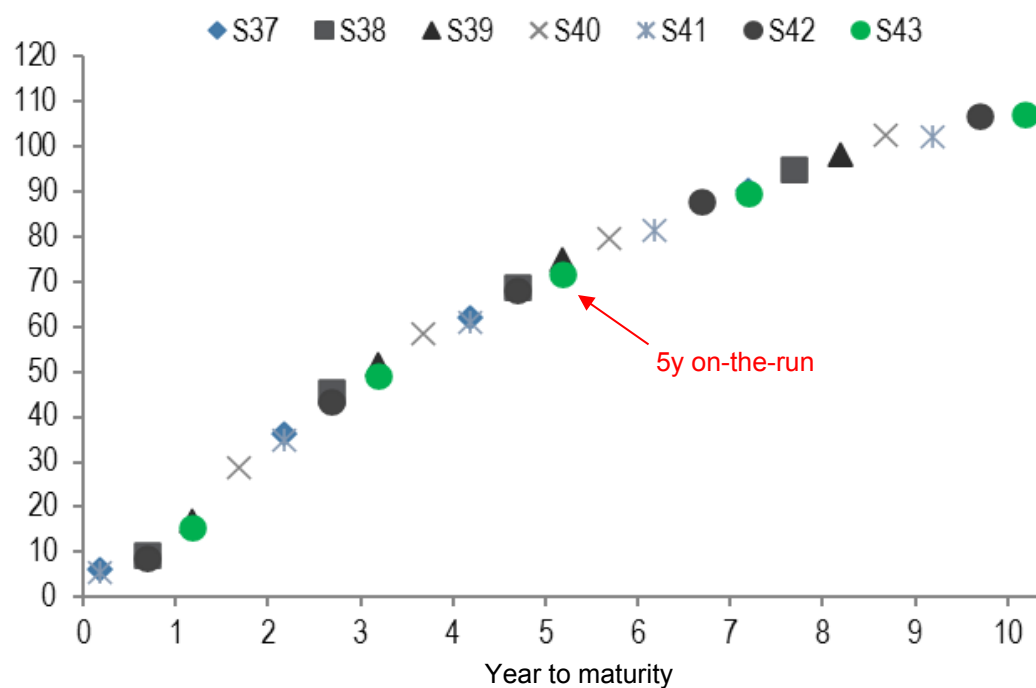
iTraxx Main S42 / S41 Composition Differences

ENTRANTS (in S42, but not in S41)			LEAVERS (in S41, but not in S42)		
Name	5y CDS	Reason	Name	5y CDS	Reason
1 ALSTOM	96	Upgrade	GSK PLC	28	Liquidity
2 Rolls-Royce PLC	79	Upgrade	DSM B.V.	20	Liquidity
3 Cellnex Telecom SA	81	Upgrade	United Utilities PLC	58	Liquidity

Source: J.P. Morgan

Each index is a “curve”

There isn't just one “iTraxx Main” index contract – although most accounts only care about 5y OTR.



JPMorgan screen for CDS Indices: {JPTE <GO>}

Page 1/1 JP Morgan Electronic Execution

Index OTR Index 1-OFF Roll & Switches Index Curves Main OFFTR Xover OFFTR Fins OFFTR IG OFFTR

J.P.Morgan Index OTR 66 MSG Contributor 10:30:33
Zoom - + 100%

JP Morgan Electronic Execution -> Credit Derivatives -> CDS Global Index -> CDS Index -> Index OTR

CDS Indices are owned by Markit

ITRAXX 5YR	BID	ASK	CHANGE	BID SIZE(MM)	ASK SIZE(MM)	Time
1) EUROPE S42	59.1200	59.4800	-0.20	155	155	10:30
2) XOVER S42	315.2000	316.8000	0.25	37	37	10:29
3) FIN SNR S42	67.0500	67.5500	-0.20	105	105	10:29
4) FIN SUB S42	120.0000	122.0000	-0.50	53	53	10:29

Index OTR Index 1-OFF Roll & Switches Index Curves Main OFFTR Xover OFFTR Fins OFFTR IG OFFTR

J.P.Morgan Roll & Switches 66 MSG Contributor 10:31:15
Zoom - + 100%

JP Morgan Electronic Execution -> Credit Derivatives -> CDS Global Index -> CDS Index -> Roll & Switches

CDS Indices are owned by Markit

ITRAXX 5YR	BID	ASK	CHANGE	BID SIZE(MM)	ASK SIZE(MM)	Time
1) MKIT Roll ITRX EUR S41/42 5YR	6.4450	6.4550	-0.02	500	500	10:31
2) MKIT Roll ITRX XOV S41/42 5YR	36.2600	36.4400	0.05	125	125	10:31
3) MKIT Roll ITRX SNF S41/42 5YR	6.3700	6.4100	-0.01	250	250	10:30
4) MKIT Roll ITRX SBF S41/42 5YR	11.8750	12.1250	0.00	50	50	10:30

Index OTR Index 1-OFF Roll & Switches Index Curves Main OFFTR Xover OFFTR Fins OFFTR IG OFFTR

J.P.Morgan Main OFFTR 66 MSG Contributor 10:32:11
Zoom - + 100%

JP Morgan Electronic Execution -> Credit Derivatives -> CDS Global Index -> CDS Index -> Main OFFTR

CDS Indices are owned by Markit

ITRAXX 5YR	BID	ASK	CHANGE	BID SIZE(MM)	ASK SIZE(MM)	Time
ITRAXX 5Y ROLLS						
1) EUROPE S40/42	9.3400	9.5200	0.03	75	75	10:31
2) EUROPE S39/42	15.3800	15.6600	0.05	75	75	10:31
3) EUROPE S38/42	21.3500	21.7300	0.05	75	75	10:31
4) EUROPE S37/42	27.5700	28.1500	0.09	75	75	10:31
5) EUROPE S36/42	33.1600	34.4400	-0.15	75	75	10:31
6) EUROPE S35/42	38.3900	41.1700	-0.36	75	75	10:31
7) EUROPE S34/42	45.4900	49.4700	0.25	50	50	10:31
8) EUROPE S33/42			0.24			10/02
ITRAXX 5Y OUTRIGHT						
9) EUROPE S40	49.5050	50.2350	-0.23	75	75	10:31
10) EUROPE S39	43.4200	44.1400	-0.25	75	75	10:31
11) EUROPE S38	37.3700	38.1500	-0.25	75	75	10:31
12) EUROPE S37	30.9500	31.9300	-0.29	75	75	10:31
13) EUROPE S36	24.6600	26.3400	-0.06	75	75	10:31
14) EUROPE S35	17.9300	21.1100	0.16	75	75	10:31
15) EUROPE S34	9.6300	14.0100	-0.45	50	50	10:31
16) EUROPE S33			-0.04			10/02

Source: J.P. Morgan, Bloomberg

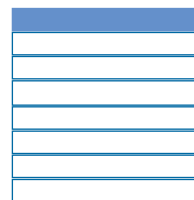
CDS Indices and Credit Events

Credit Events

- CDS indices handle credit events in the exact same way that a basket of single name CDS.
- When a credit event happens, the single name splits out from the CDS index and is settled separately like a normal single name CDS contract.
- The defaulted single name is not replaced; the CDS index continues to trade on a reduced notional.
- Coupons will be paid on the full notional until the credit event date, and on the reduced notional afterwards.
- Example:
 - We buy €125mm of iTraxx Main protection (125 names), equivalent to €1mm protection on each of the single names.
 - There is a credit event on one name with a 40% recovery.
 - We receive €600k = €1mm x (1-40%) from the single name portion of the index.
 - The index will continue to trade and will now be known as “Version 2” of the Series. After the auction, the new reduced notional of the index will be €124mm.

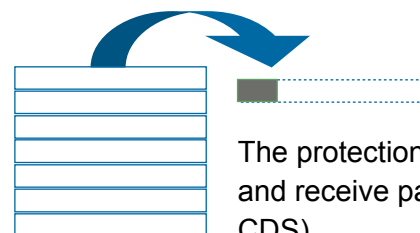
Source: J.P. Morgan

1 Credit Event on one of the names



The protection buyer and the protection seller can trigger the contract

2 The triggered name is stripped out of the contract and settled separately like a normal single name CDS.



The protection buyer will deliver the bonds and receive par, or cash settle (like a normal CDS)

3 The contract remains live on a reduced notional



Premium is paid or received on a reduced notional going forward

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Traded vs. Theoretical Spread: Basis to Theoretical

- The traded spread of a CDS index is driven by demand and supply.
- We can also calculate a theoretical spread for the index using the spreads of the underlying single names.
- These spreads will often not be the same – the difference is known as the basis-to-theoretical (aka index skew).
- **Basis to theoretical = Traded Index spread – Theoretical Spread**
- Why does the basis exist?
 - Both macro factors and idiosyncratic factors can be the driving force in market moves.
 - In environments where macro factors are more important, investors are more likely to express views using the index than single names.
 - The index is likely to go wider first during sell-offs (causing the basis-to-theoretical to become more positive) and go tighter first during rallies (basis becomes more negative).
 - In idiosyncratic default risk-led environments single-name hedging drives markets.
 - In this case single name CDS moves wider first during sell-offs (basis becomes less positive / more negative).
- If the basis gets too large, investors will look to arbitrage the difference.

Trading the Basis

Index Skew or Arb lists

- The index and underlying single names hold exactly the same default risk.
- If the basis-to-theoretical is very positive or negative, investors will look to arbitrage the difference by trading both the index and all the underlying single names.
- Example:
 - iTraxx Main is trading at a spread of 100bp and the underlying single names give a theoretical spread of 90bp.
 - Basis to theoretical = +10bp.
 - We sell protection on iTraxx Main at 100bp and buy protection on all 125 single names.
- To make a trade worthwhile the basis needs to be large enough to offset the cost of the bid-offer on the index and single names.
- These trades are known as *basis-to-theoretical trades* or *arb lists*.
- Arb lists in general are difficult to execute, given the problems associated with trying to line up a large number of single name trades simultaneously.

Source: J.P. Morgan

Calculating the Theoretical Index Spread

Theoretical Spread

- We can calculate a theoretical index spread using single name trading levels.

- As a starting point, the upfront of the index should be equal to the sum of the upfronts of all the single names, adjusted for their weighting within the index.

$$U_I = \sum_{i=1}^N \omega_i U_i$$

U_I = Index Upfront
 U_i = Single Name Upfront
 ω_i = Weighting of name in index
 N = Number of names in index

- If the index is equally weighted (as most are), then $\omega_i = 1/N$. We can also express the upfronts in terms of risky annuities, spreads and coupons.

$$RA_I(S_I - C) = \frac{1}{N} \sum_{i=1}^N RA_i(S_i - C)$$

S_I = Index Spread
 S_i = Single Name Spread
 RA_I = Index Risky Annuity
 RA_i = Single Name Risky Annuity
 C = Fixed Coupon

- We can rewrite the index risky annuity RA_I as the sum of the individual single name risky annuities $RA_I = \frac{1}{N} \sum_{i=1}^N RA_i$

- This gives us:
$$\frac{S_I}{N} \sum_{i=1}^N RA_i - \frac{C}{N} \sum_{i=1}^N RA_i = \frac{1}{N} \sum_{i=1}^N RA_i S_i - \frac{C}{N} \sum_{i=1}^N RA_i$$

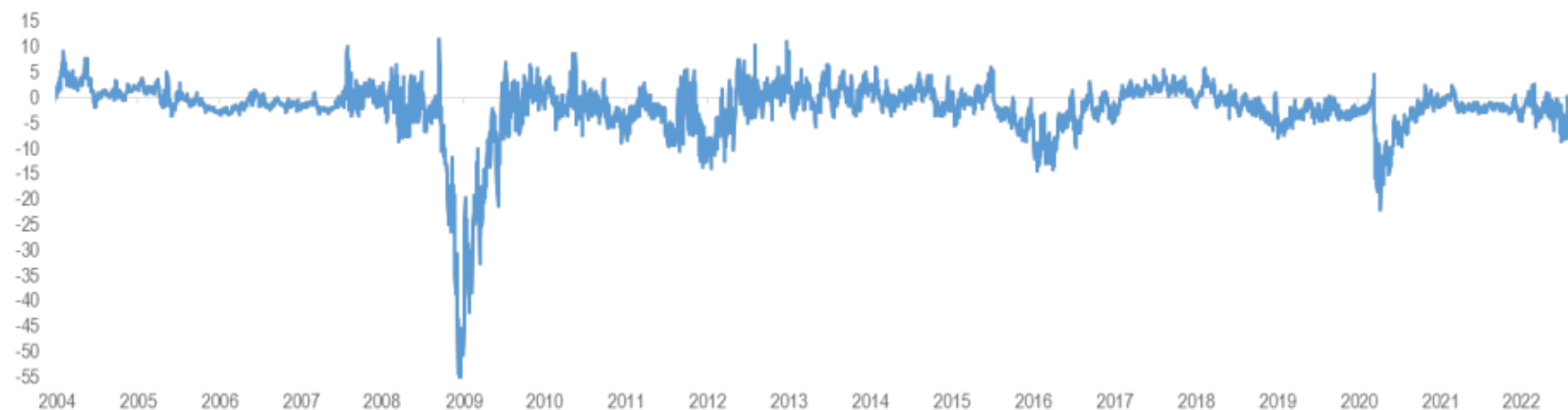
- The coupons cancel out and we can then express S_I as
$$S_I = \frac{\sum_{i=1}^N RA_i S_i}{\sum_{i=1}^N RA_i}$$

- **Wider names have lower risky annuities and therefore a lower weighting** – they are more likely to default so we expect to pay the spread for a shorter amount of time.
- The lower weighting of wider spreads means that the Theoretical Spread is lower than a simple average of the single name spreads.

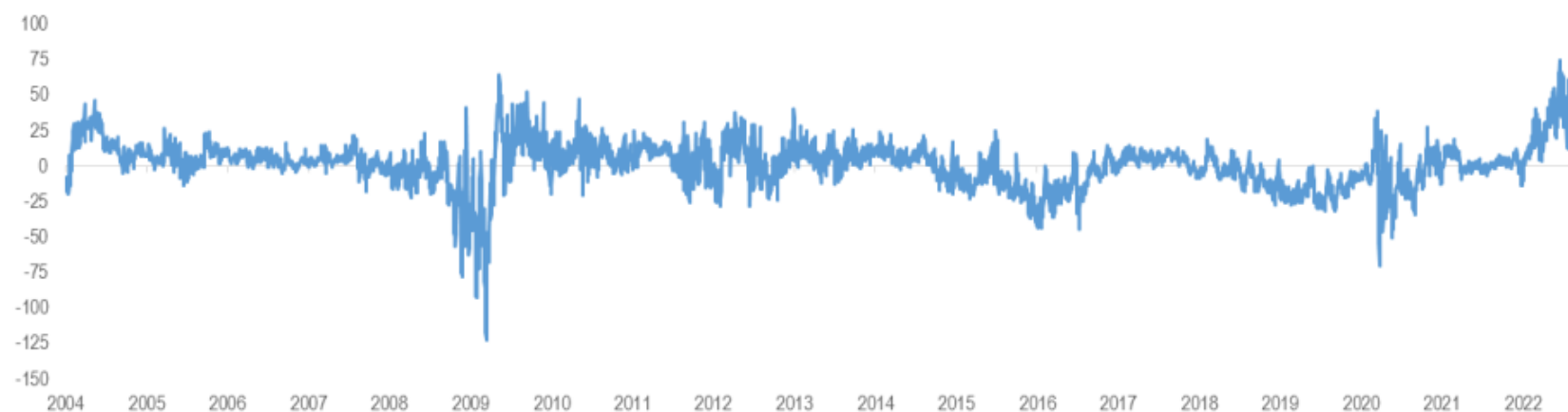
Source: J.P. Morgan

Historical Basis-to-Theoretical

iTraxx Main Basis-to-Theo (bps)



iTraxx Crossover Basis-to-Theo (bps)



Source: J.P. Morgan

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Example Relative Value Trades with CDS Indices

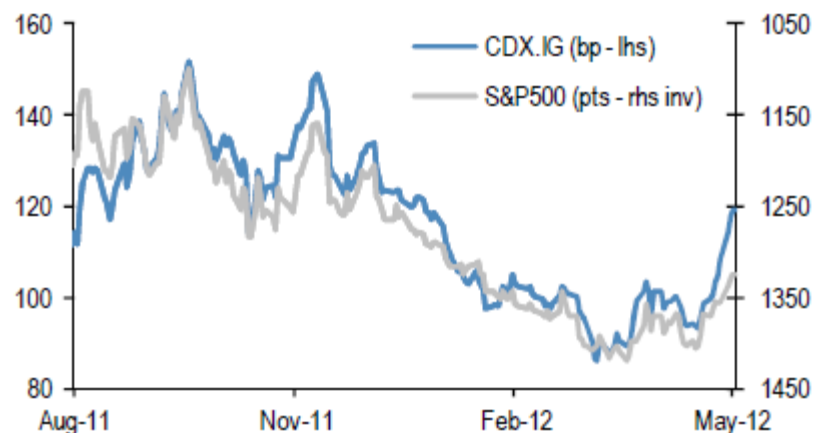
- CDS indices allow investors to take relative value views across different dimensions: time, portfolios, and markets
- The four most popular relative value trades: index basis, curve, roll, and cross-index
- **Index basis trades (skew package):** trading the index vs. the underlying single-name CDS in the portfolio
 - Example: Buy Main Series 40 5y protection and sell 5y protection on the individual 125 single-name CDS in the Series 40 basket
- **Curve trades:** relative value across the tenors of a single index
 - Example: 5s10s CDX.IG on-the-run duration-weighted steepener
- **Roll trades:** relative value across different Series of the same index family
 - Example: Sell protection Xover Series 38 5y and buy protection Xover Series 40 5y
- **Cross-index trades:** relative value between different markets (within credit or cross-asset)
 - Main vs Xover (IG vs HY)
 - Main vs SnrFins (Corps vs Fins)
 - Main vs CDX.IG (Europe vs US)
 - Main vs SX5E (Credit vs Equity)
 - Main vs VSTOXX (Credit vs Equity Vol)
 - Main vs IEAC (Synthetics vs Cash)

Example 1 - Cross-Index Trades

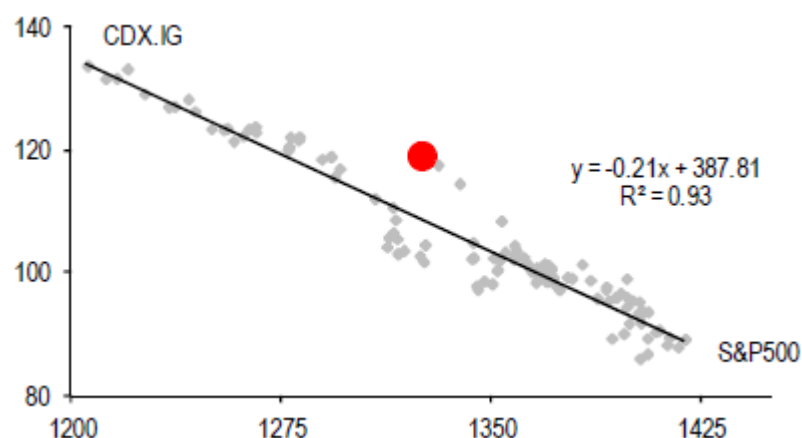
Credit vs Equity

- The indices are attractive for cross-market trades
 - Credit vs equity: CDX vs S&P 500
 - High Grade vs High Yield: CDX.IG vs CDX.HY
 - Bonds vs loans: CDX.HY vs LCDX
- Example: Sell CDX.IG protection and short S&P 500 in a 6.5:1 ratio
 - In mid 2012, CDX.IG underperformed too much and thus looked too wide vs. S&P 500
 - CDX.IG looked about 7bp too wide vs. S&P 500, 2.5 std dev
 - European risks driving the market but no credit-specific developments, hence both S&P 500 and CDX.IG should trade in line
 - Recommend selling \$100mm CDX.IG protection and shorting 230 S&P Eminis, i.e., long risk CDX.IG vs. short risk S&P 500 in a 6.5:1 ratio

Mid 2012: Equities outperformed CDX.IG



...and CDX.IG seemed wide vs. S&P



Source: J.P. Morgan

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Example 2 - Curve Trades: CDX.IG 5s10s duration-neutral steepener

CDX.IG looks too flat vs. trend and vs. fair value 5s10s duration-weighted steepener has attractive time value

Trade

- Sell CDX.IG 5y protection and buy CDX.IG 10y protection, duration neutral (i.e., sized 1.8:1).

Rationale

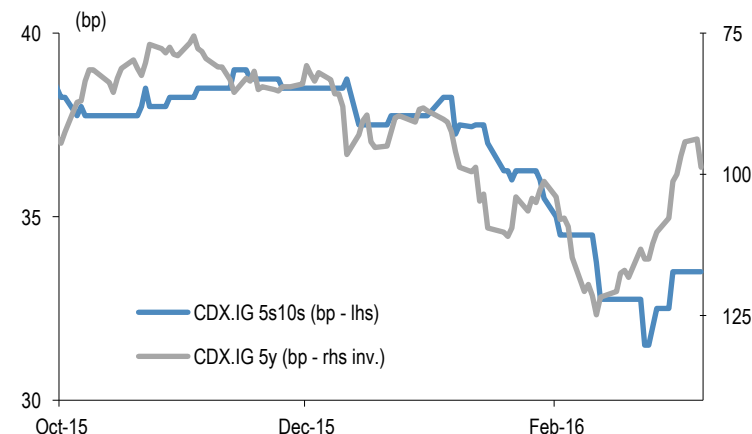
- CDX.IG 5s10s curve appears too flat relative to its recent trend vs. the index and also relative to its underlying single-name CDS. The curve is about 3bp too flat in either perspective.
- By comparison, iTraxx Main is 36bp steep with the 5y index at 92bp.
- The duration-weighted steepener is also carry positive (\$460k per year, if the trade is sized \$180mn:\$100mn) and slide positive (about \$400k per year, assuming the curve is unchanged from its current levels). So the total time value looks quite attractive at about \$860k per year.
- The main risk to the trade is that the markets sell off and the curve flattens as a consequence. The current beta is for the 5s10s curve to flatten by about 1.3bp when the 5y index widens by 10bp. However, the trade would still break even if the curve steepens by about 5bp over the next year as the carry is quite positive.
- There is also a risk in case of near-term default as the trade net sells \$80mn of protection. However, we believe this is unlikely, even though some names in the index are trading quite wide.

Trade Details

B/S	Instrument	Expiry	Notional	Entry Level	1y carry	1y slide
Sell Prot	CDX.IG 5y	Dec 2020	180,000,000	99bp	1,782,000	-450,769
Buy Prot	CDX.IG 10y	Dec 2025	100,000,000	132bp	-1,320,000	859,054
Net				33bp	462,000	408,284

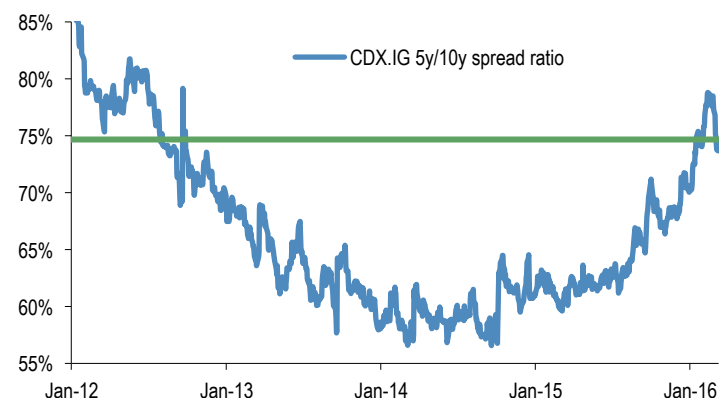
Source: J.P. Morgan. Pricing as of EOD 8 Mar 16.

CDX.IG 5s10s curve has not steepened by much in the recent rally, and the curve looks too flat vs. the index



Source: J.P. Morgan

In relative terms, the 5y level has not been this close to the 10y level in almost four years



Source: J.P. Morgan

J.P.Morgan

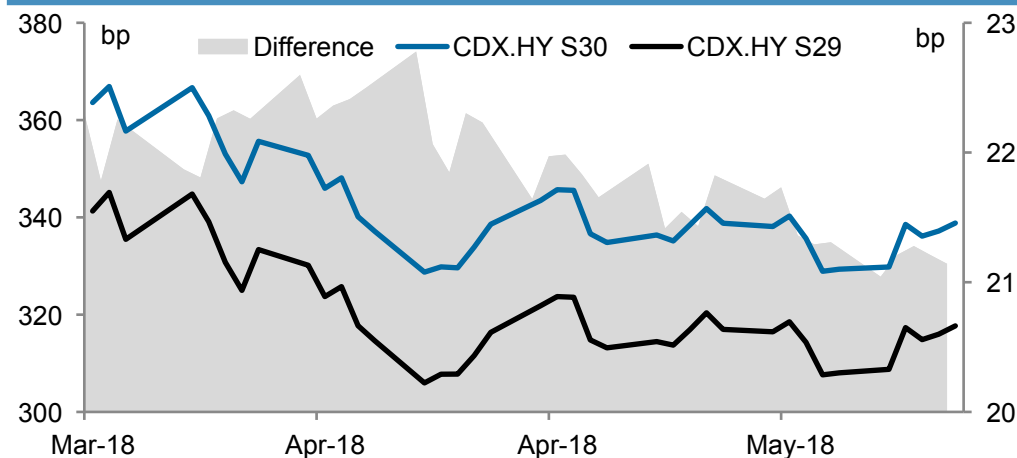
Example 3 - Roll Trades

- As new CDX index Series are launched every 6 months, off-the-run Series still trade (even though liquidity tends to be larger in the more recent Series)
- The differences between Series are
 - Composition of the portfolio
 - Maturity date
- Investors who have a view between the portfolios can trade one Series vs. another
- Two ways to implement the trade
 - Same maturity date
 - Example: CDX.HY S30 3y vs. S26 5y, which both mature in Jun 2021
 - Same tenor
 - Example: CDX.HY S30 5y vs. S29 5y
 - Note that this is also a curve trade

Difference between CDX.HY S29 and S30

Series 29	5Y CDS (bp)	Series 30	5Y CDS (bp)
MBIA Insurance	763	MBIA Inc	642
Level 3 Comm	188	Sabre Holdings Corp	257
CalAtlantic Group,	127	United Continental	241
Realogy Group	306	The ServiceMaster	337
M.D.C. Holdings	154	Continental Resources	88
Average	308	Average	313

inception



Source: J.P. Morgan, as of May 2018

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Appendix: Additional Material

- [Credit Derivatives Handbook](#), 2006, J.P. Morgan
- [Global CDS Indices](#), 2025, J.P. Morgan
- [CDS Indices Primer](#), 2023, S&P Global
- [iTraxx Europe and iTraxx Crossover Index Rules](#), 2024, S&P Global
- [CDX.IG and CDX.HY Index Rules](#), 2022, S&P Global

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